

Course Title:
ECONOMICS FOR BUSINESS
FIRST SEMESTER

INSTRUCTORS
SERGIO NISTICÒ AND LUCIO SECONDINO

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Prerequisites: basic economics

Language of Instruction: English

Overall Class hours: 54

Class hours, part I: 36

Class hours, part II: 18

Overall Credits (ECTS): 9

LEARNING OUTCOMES

By the end of the course, the student will be able to:

- recognize and discuss, both graphically and analytically, instances of alternative economic choices that are relevant for a business and can be addressed in terms of the cost-benefit approach;
- describe how customers demand can react to changes in income, price and prices of other goods and services applying the various forms of elasticity of demand;
- explain, giving original examples, the main categories of costs any company incurs distinguishing the input costs according to whether they can be changed in the short run or only in the long run;
- model and illustrate an output-pricing strategy for a firm in a context characterized by some degree of market power and uncertainty about customers demand;
- develop and support complex choices under uncertainty and strategic interdependence by using the basic notions of game theory;
- apply the basic tools of finance to analyze alternative investment projects, to compare monetary values of different years, the relation between bond prices and interest rates;
- master the basic graphical and analytical tools to interpret, summarize and discuss in the ordinary language the basic content of official documents and papers on countries macroeconomic performances, in terms of output, employment, inflation and cost of living, with an appropriate use of the notions of nominal and real GDP, unemployment rate, GDP growth and GDP deflator, CPI.
- analyze and evaluate, from the viewpoint of an entrepreneur, the macroeconomic data of any country across a given time span assessing, also by use of index numbers, its position in a business cycle and its exposure to global challenges and international competition.
- infer the likely development of the business cycle from the fiscal and monetary policies that the main macroeconomic actors, the Government and the Central Bank, implement to stabilize the economy, e.g. to counteract recessions or inflation;

COURSE DESCRIPTION

This course is structured in two modules that will be taught in parallel during the semester.

The first module deals with microeconomics, i.e. the set of tools economists use to study the choices made by individuals in their roles of consumers, employees, investors and business managers and the effects of individual choices on market outcomes. Both modules require an active learning approach by students with a recurrent alternance among the three fundamental languages of economic discourse: verbal/ordinary; graphical/numerical; analytical/algebraical.

In particular, this first module focuses on:

- the use of graphical and analytical tools to measure opportunity cost and elasticity of demand;

- the rational choice theory under certainty as a possible benchmark to understand what drives actual, real-life economic choices;
- expected values and expected utility theory of rational choice under risk;
- the difference between risk and uncertainty and the essentials of behavioral economics;
- the relationship between inputs and output and its impact on firms' costs;
- short-run and long-run cost functions and the related notion of returns to scale;
- the possible 'shapes' of long-run cost functions and their impact on the structure of a sector/industry;
- how firms choose inputs, output and prices according to the different market structures in which they operate;
- the notion of externalities and rationale for governmental regulation and taxation of any business.

The second module deals with the fundamental macroeconomics models, and their ability to interpret the real-world economic phenomena. The topics addressed include the factors affecting changes in aggregate variables, such as GDP, unemployment rates, aggregate demand, interest rates, price levels, and so on, in the context of contemporary monetary market economies.

In particular, this second module focuses on:

- National accounting and definition of key economic variables (Nominal and real GDP, inflation, unemployment, money, etc.).
- GDP and interest rates determination.
- The role of fiscal and monetary policies.
- Introduction to the open economy.
- Understanding economic fluctuations: the IS-LM model.

With reference to all topics listed above, students will be asked to develop a critical attitude towards the realism and the soundness of the assumptions underlying the various models and the ability to use the relevant elements of the economists' toolbox to specific case studies.

INSTRUCTIONAL FORMAT

The course includes a total of **27** classes of 2 hours (gross of interclass break). A few extra sessions will be devoted to exercise and case studies. After an introduction aimed at providing the needed background, participants are required to read the materials related to the class and to be prepared prior to coming to class. Classes will consist of a lecture by the instructor, to be followed by a discussion of the main topics and, possibly, of the assignments.

TENTATIVE COURSE SCHEDULE

Week 1 (Frank, chapters 1 and 2. Blanchard, chapters 1 and 2)

- Part I: Introduction to the Course. Presentation of the Available materials. Clear Statement of Expected Mutual Requirements. The role of economic models. Thinking like an economist. Graphing as one of the languages of Economics: the budget constraint and the production possibilities frontier.
- Part II: Introduction to the Course. Different approaches to macroeconomics. Fundamental macroeconomic variables. Some figures of macroeconomic aggregates, longitudinal and cross section.

Week 2 (Frank, Chapters 2 and 3. Blanchard, chapters 2 & 3)

- Part I: The rational choice theory
- Part II: The GDP determination, the goods market. The consumption function and the spending multiplier. Okun's law and the Phillips Curve.

Week 3 (Frank, appendix chapter 3 and appendix chapter 4, chapter 5. Blanchard, chapters 3 & 4)

- Part I: Applications of rational choice theory. The elasticities of demand
- Part II: More on the goods market. The paradox of savings and the Savings-Investment relationship. Financial markets and the role of central banks

Week 4 (Frank, chapter 6. Blanchard, chapters 4 & 5)

- Part I: The production and cost functions in the short run
- Part II: Goods and Financial Markets: The IS-LM model. The role of fiscal and monetary policies.

Week 5 (Frank, chapters 7 and 8. Blanchard, chapters 5 & 6)

- Part I: Long run cost functions
- Part II: Nominal and real interest rates. More on the IS-LM model.

Week 6 (Frank, chapter 9 and appendix; chapter 10. Blanchard, chapter 7)

- Part I: Pricing and output decisions when firms have market power.
- Part II: The determination of wages and prices. The price level and inflation. Mid-term review.

Week 7 (Frank, chapter 11 and 12. Blanchard, chapters 7 & 8)

- Part I: Strategic interdependence in oligopoly: The fundamentals of game theory
- Part II: Unemployment: its measure and its determinants. More on the Phillips Curve.

Week 8 (Frank, chapter 12. Blanchard, chapters 8 & 9)

- Part I: Mark up, elasticity of demand and price discrimination.
- Part II: The extended IS-LM model.

Week 9 (Frank, chapter 13. Blanchard, chapters 17 and 18)

- Part I: Externalities: the rationale for taxation and subsidies.
- Part II: Exports, imports and the nominal exchange rate. The real exchange rate. The goods market in an open economy.

WORKLOAD EXPECTATIONS

All students are expected to spend at least 3 hours of time on academic studies outside of, and in addition to, each hour of class time.

CLASS/INSTRUCTOR POLICIES

PROFESSIONALISM AND COMMUNICATIONS: As a student, you are expected to maintain a professional, respectful and conscientious manner in the classroom with your instructors and fellow peers. In particular, you are expected to take your academic work seriously and engage actively in your classes. Advance preparation, completing your assignments, showing a focused and respectful attitude is expected of all students. Simply showing up for class or meeting minimum outlined criteria will not earn you a good grade in this course. Utilizing communications, properly addressing your faculty and staff, asking questions and expressing your views respectfully demonstrate your professionalism and cultural sensitivity.

ATTENDANCE AND CLASSROOM BEHAVIOR: Although attendance is not compulsory, it is highly recommended. All students must have a respectful attitude towards the professor as well as the classmates.

ARRIVING LATE / DEPARTING EARLY FROM CLASS: Once they have decided to attend, students must behave

consistently. Arriving late or leaving class early is disruptive and shows a lack of respect for instructor and fellow students.

MAKE-UP CLASSES: The instructors reserve the right to schedule make-up classes in the event of an unforeseen or unavoidable schedule change. Make-up classes may be scheduled outside of typical class hours, as necessary.

USE OF CELL PHONES, LAPTOPS AND OTHER ELECTRONIC DEVICES: Always check with your instructors about acceptable usage of electronic devices in class. Inappropriate usage of your electronic devices will result in a warning and may lead to a deduction in participation grades. Use of a phone either to take pictures or to send/receive phone calls, text messages, emails or any other purposes during class is impolite, inappropriate and hence prohibited. Faculty determines whether laptops will be allowed in class. **The use of a laptop, tablets or of cell phones, as well as any materials as books or papers, is prohibited during all tests and exams, unless otherwise specified by your instructor.**

FORMS OF ASSESSMENT

The instructors will use various forms of assessment to calculate the final grade you receive for this course, including Class Participation, Work on the Assignments and the Final Exam. The content, criteria and specific requirements for each assessment category will be explained in greater detail in class. Any questions about the requirements should be discussed directly with your faculty well in advance of the exam date.

ASSESSMENT OVERVIEW:

Class Participation: The instructor values your participation in class discussions, your capacity to introduce ideas and thoughts dealing with the texts, your ability use language effectively, and to present your analysis in intellectual, constructive argumentation. If you cannot attend classes your participation can be shown by interacting with your instructor during office hours, in presence or online, i.e. by asking about specific subjects of the syllabus and discussing assignments.

Assignments: Students will be required to work on home assignments, as they are uploaded on Google Classroom, timely. These will be exercises on analytical and/or graphing tools, comments on suggested readings on examples of economic challenges, opportunities, problems or risks faced by households, firms or nations.

Final Exam: Your abilities will be tested in three important areas of competency: the amount of information you master; the accuracy of the information you present, your ability to apply your knowledge to discussing real-world cases.

Structure: The exam is essentially oral. Prior to the examinations, a comprehensive review will be given during class. The oral discussion through aims at assessing the significance you ascribe to the facts and ideas you have integrated across your study in this course.

Missing Examinations: Examinations will not be rescheduled, and students must show up at the scheduled time. Late arrivals at the exams will not be tolerated and imply skipping the exam session. Pre-arranged travel or anticipated absence does not constitute an emergency and requests to reschedule exams will be rejected.

REQUIRED READINGS

Listed below are the required course textbooks and additional readings. These are required materials for the course and you are expected to have constant access to them from the very beginning of the course for reading, highlighting and note-taking. It is required that you have unrestricted access to each. Access to additional sources required for certain class sessions may be provided in paper or electronic format consistent with applicable copyright legislation.

Required texts:

Studying the textbooks is essential for the preparation of the exam.

Frank, Robert H. Microeconomics and behavior, 7th or later Edition, McGraw-Hill.

Blanchard, Macroeconomics, Pearson 2020, 8th or later edition

Notes of the instructor uploaded on Google Classroom.

Recommended readings (to be selected and assigned throughout the semester): The following primary and secondary materials, articles and readings are either available on the web or will be provided in Pdf format by the instructor through the GOMP and/or MOODLE platforms.

A series of Robert H. Frank's articles published on the New York Times

Ball, L. **The case for 4% inflation**, VOX CEPR's Policy Portal, May 24, 2013

Blanchard, O. **What Size Fiscal Deficits for the United States?**, Peterson Institute for International Economics, Nov 21, 2016.

Blanchard, O. **The State of Advanced Economies and Related Policy Debates: A Fall 2016 Assessment**, Peterson Institute for International Economics, Policy Brief, 16-14 2016.

Blanchard, O. **How the Eurozone Can Be Strengthened After Brexit**, Peterson Institute for International Economics, June 27, 2016.

De Long, B. **We Really Do Need a 4%/Year Inflation Target, Bradford-delong.com: Grasping Reality with Both Hands**, May 26, 2013

Feldstein, M. **Japan's growth strategy is all wrong**, Project Syndicate, Jan 18, 2013

Krugman, P. **Japan Steps out**, The New York Times, Jan 13, 2013

ONLINE REFERENCE & RESEARCH TOOLS:

- 1) www.economist.com

The website of *The Economist* contains data updated twice a day on output, unemployment, exchange rates, inflation, interest rates and stock prices for a large number of countries.

- 2) www.imf.org/external/index.htm

The website of the International Monetary Fund provides data on 187 member countries. A particularly useful publication is the World Economic Outlook, which is published twice a year and describes major economic events in the world and in specific member countries.

Specific and updated data on monetary aggregates and policies are also to be found on the websites of the US Federal Reserve and the European Central Bank:

- 3) www.federalreserve.gov

- 4) <http://www.ecb.int>